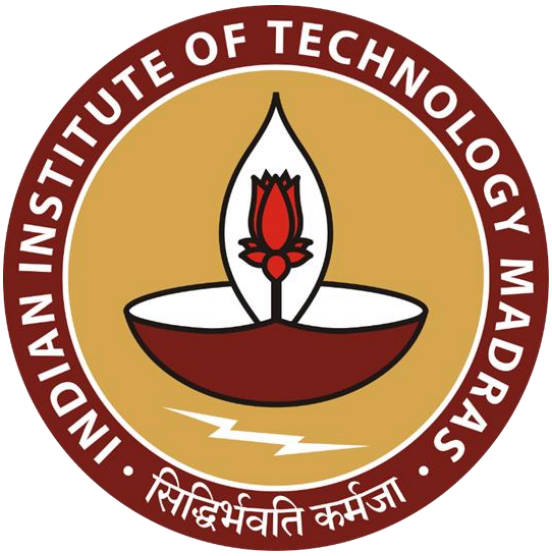
Optimizing Saree Retail Operations with Sales and Inventory Analytics at S.R Trading Co.: A Data-Driven Approach

Final Report

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1. Executive Summary:

This final report presents a comprehensive data-driven analysis of S.R. Trading Co., a saree wholesale business located in Chandni Chowk, Delhi. The study covers three months of transactional data (January to March 2025) consist of 54 sales transactions and 49 purchase transactions across 44 unique SKUs in five product categories: Print, Handwork, Others, Brush, and Woven.

The analysis employs multiple methodologies including ABC/Pareto Analysis, Monthly Sales Trend Analysis, Purchase vs. Sales Comparison, Customer Revenue Concentration Analysis, and Gross Profit Margin Analysis to derive actionable insights into inventory management, sales optimization, and profitability enhancement.

This report represents a pivotal point in S.R. Trading co' effort to improve inventory management. This project offers data-driven solutions to S.R. Trading co ' inventory and profitability problems, in line with the goal of the Business Data Management Capstone project. With the help of the data analysis done, the report tackles the problem statements that were discussed with the owner.

Recommendations focus on strategic inventory segmentation using ABC analysis, customer base diversification to reduce credit concentration risk, proactive restocking of high-velocity SKUs, pricing strategy review for premium categories, and implementation of a basic digital record-keeping system.

The report's conclusion reiterates the possibility of significant operational improvements and offers tactics to improve inventory control, raise overall profitability, and improve sales performance. S.R. Trading co. can seek to optimize its operations, and create a path for long-term, sustainable growth in the sarees sector with the use of data-driven insights.

2. Detailed Explanation of Analysis Process

- **An Overview:**

The three-month of transactional data (January to March 2025) consist of 54 sales transactions and 49 purchase transactions across 44 unique SKUs in five product categories: Print, Handwork, Others, Brush, and Woven. The procedure included a variety of analytical methods to improve inventory control, raise overall profitability, and improve sales performance.

The steps that have been taken for the data analysis and finding results are as follows:

- Data collection and Structuring

- ABC / Pareto Analysis
- Monthly Sales Trend Analysis
- Purchase vs. Sales Inventory Analysis
- Customer Revenue Concentration Analysis
- Gross Profit Margin Analysis

2.1 Data Collection and Structuring

Physical purchase and sales bills for January to March 2025 were collected through daily/weekly WhatsApp communication with store staff (Mr. Anil Thakur) and in-person store visits to Chandni Chowk. All transaction records were manually transcribed into structured Excel spreadsheets, with separate sheets maintained for Purchase Data and Sales Data. Key data fields captured for each transaction include: Date, Order Number, Invoice Number, Party Name (supplier for purchases or customer for sales), Place of Supply, Description of Goods, Category, HSN/SAC Code, Quantity (Pcs.), Unit Price (Rs.), Gross Amount, Discount Amount (5% standard), and Net Total Amount.

Data cleaning addressed formatting inconsistencies in dates, standardized product name variations across purchase and sales entries, validated all numeric fields, and resolved missing values. Category labels were standardized across both sheets to enable accurate cross-analysis.

2.2 ABC / Pareto Analysis

An ABC/Pareto Analysis was conducted at both the category and product SKU levels. Products were ranked in descending order of total revenue contribution and cumulative revenue percentages were calculated.

ABC Analysis classifies inventory items into three categories—A, B, and C—based on their importance and impact on revenue. This method helps prioritize inventory management efforts. Category A for top 70% of revenue, Category B for the next 20%, and Category C for the bottom 10%. A Pareto chart was constructed to visualize the 80/20 concentration pattern and inform inventory investment allocation.

2.3 Monthly Sales Trend Analysis

S.R. Trading Co.'s current purchasing approach is reactive — orders are placed only when stock runs out, with no reference to seasonal demand patterns. This causes two simultaneous problems: stockouts during peak demand periods (when large orders arrive unexpectedly) and idle capital during slow periods (when excess stock has been ordered unnecessarily).

Monthly trend analysis provides the temporal dimension of business performance: when is demand high, when is it low, and by how much does it vary? This directly addresses Problem Statement 3 (reactive purchasing) by giving the owner documented evidence of a predictable seasonal pattern that can be used to plan purchases in advance. It also addresses Problem Statement 2 by revealing revenue timing that informs cash flow planning.

Steps Taken:

1. Month-wise data segmentation: All 54 sales transactions were grouped by calendar month (January, February, and March 2025) using Excel's date filter and pivot table functionality.

2. Key metric aggregation per month: For each month, four primary metrics were calculated — total units sold (quantity), total sales revenue (sum of Net Total Amounts), number of distinct transactions (transaction count), and average revenue per transaction (total revenue divided by transaction count).

3. Revenue share calculation: Each month's revenue was expressed as a percentage of the three-month total revenue, providing a normalized view of relative monthly contribution.

4. Month-over-Month (MoM) growth rate: The percentage change in revenue from one month to the next was calculated as ((Current Month Revenue - Previous Month Revenue) / Previous Month Revenue) x 100. This quantifies the magnitude of demand acceleration or deceleration between periods.

5. Category-within-month breakdown: For each month, revenue and volume were further broken down by product category to identify whether all categories peak simultaneously or whether different categories follow different seasonal rhythms — critical for category-specific procurement planning.

6. Trend visualization: A column bar chart of monthly revenue was constructed to make the seasonal pattern immediately visible and interpretable at a glance by the business owner without requiring him to read numbers.

2.4 Purchase vs. Sales Inventory Analysis

A category-wise comparison of quantities purchased versus quantities sold was performed to identify inventory gaps. Where sales quantities exceed purchase quantities, the business drew from pre-existing stock — a positive sell-through indicator but also a restocking flag for future periods. Gross profit by category was computed as Sales Revenue minus Purchase Cost, and Gross Profit Margin % was calculated as (Gross Profit / Sales Revenue) x 100.

2.5 Customer Revenue Concentration Analysis

Customer-level revenue, unit volume, and transaction count were extracted from the sales dataset using pivot analysis. Revenue share percentages were calculated for each B2B customer to quantify dependence on individual buyers. The analysis identifies which customers pose the greatest payment-delay or demand-reduction risk to the business, and provides the evidential basis for the customer diversification strategy recommended in this report.

Steps Taken

1. Customer identification: All unique customer names were extracted from the Party Name column of the Sales Data sheet. Four distinct B2B customers were identified: Lucky Silk Store, Shyam Silk Store, Pamecha Cloth Centre, and Kanchan A Mewara.

2. Revenue per customer: For each customer, the total Net Total Amount across all transactions in the three-month period was summed using Excel SUMIF formulas. This gives the total revenue attributed to each buyer.

3. Units sold per customer: Total quantity (pieces) sold to each customer was computed separately to understand order volume patterns, distinguishing between high-value low-volume customers (premium buyers) and high-volume lower-value buyers.

4. Transaction count per customer: The number of distinct invoices raised to each customer was counted to understand purchase frequency — a customer with fewer but larger orders presents different credit risk than one with many small frequent orders.

5. Revenue share percentage: Each customer's revenue was expressed as a percentage of total three-month revenue to quantify concentration. This is the key metric — any single customer contributing more than 40 to 50% of revenue represents a concentration risk requiring active management.

6. Geographic mapping: Customers' places of supply were noted to identify geographic concentration (all major customers are in Jodhpur, Rajasthan), which adds a second dimension of risk — a localized economic slowdown or textile-sector disruption in Jodhpur would simultaneously affect multiple customers.

7. Pie chart and benchmark visualization: A donut pie chart of customer revenue share was constructed, accompanied by a horizontal bar chart comparing each customer's share against the recommended maximum threshold of 45% for any single customer.

2.6 Gross Profit Margin Analysis

Purchase cost data by category was matched against corresponding sales revenue to derive category-level gross profit and gross margin percentages. This enables direct comparison of profitability across product categories, identifying which categories deliver the best return on procurement investment and which may be underperforming relative to the capital they deploy.

Steps Taken

1. Purchase cost by category: The total purchase cost for each category was extracted from the Purchase vs. Sales analysis representing the actual amount paid to suppliers for goods bought during January to March 2025.

2. Sales revenue by category: The total sales revenue per category was similarly sourced from the Purchase vs. Sales analysis — representing the actual amount received (or receivable) from customers for goods sold.

3. Gross profit calculation: Gross Profit = Sales Revenue minus Purchase Cost, computed for each category individually and for the overall business total.

4. Gross margin percentage: Gross Profit Margin % = (Gross Profit / Sales Revenue) x 100. This percentage is the primary comparison metric because it normalizes for size differences between categories — allowing a direct apples-to-apples profitability comparison regardless of whether a category sells 10 units or 349 units.

5. Benchmark against overall average: The overall gross margin (11.94%) was calculated as the baseline. Each category's margin was then compared against this average to classify categories as above-average performers (Print at 16.81%), near-average performers (Others at 10.17%, Handwork at 9.16%), and below-average performers (Woven at 5.01%, Brush at 3.36%).

6. Target margin modelling: For each category, a recommended target margin was estimated based on realistic pricing adjustments (reducing discount rates for premium items, modest selling price increases for handwork) and supplier cost renegotiation potential. These targets were plotted alongside current margins in a grouped bar chart to visually communicate the improvement opportunity to the business owner.

3. Results and Findings:

The excel file with all the metadata and the analysis done for the final report is attached below for reference.

Excel Workbook with all the metadata and the analysis done for the results and recommendations for the final report.	Spreedsheet

3.1 Sales Insights:

Metric	Qty	Price	Total Amount
mean	14.35	938.80	10637.21
Median	7.50	837.50	6922.95
Mode	6.00	425.00	4300.00
Std deviation	18.61	604.31	9402.87
Min	2.00	395.00	1552.00
Max	115.00	3450.00	47725.00
Q1 (25%)	5.00	507.50	3530.00
Q3 (75%)	14.75	950.00	15075.00
Unit Sold	775.00	-	-

- A total of 775 units were sold across 54 transactions over three months, averaging approximately 14.35 Qty per transaction.
- The mean (average) reflects the typical transaction size; an average sale involves about 14 pieces at ₹939 per unit.
- The median is lower than the mean (7.5 pieces, ₹838), indicating that most individual transactions are smaller, while a few large bulk orders pull the mean upward — a right-skewed distribution.
- The standard deviation measures the spread of values around the mean; the high standard deviation in Quantity (18.61) and Total Amount (₹9,403) confirms wide variability in order sizes, with some orders being very large and others quite small.
- The Minimum value (Min) represents the smallest single transaction recorded across the three months i.e. 2 pieces at a unit price of ₹395. The Maximum (Max) denotes the largest single transaction i.e. 115 pieces in one order and the highest recorded price of ₹3,450.
- Top-selling SKUs: Chamundi print - flower (115), Chamundi Mukesh (65), and Chamundi print (55) in order of sales.
- The highest-revenue month was February 2025 with ₹2,58,926, followed by January (₹2,27,945) and March (₹87,538).
- The highest-revenue product was Saree (EBR) with a total of ₹84,150 across 43 units, followed by Chamundi print (Flower) at ₹47,725 (115 units).
- The average unit price was ₹938.80, ranging from a minimum of ₹395 to a maximum of ₹3,450.

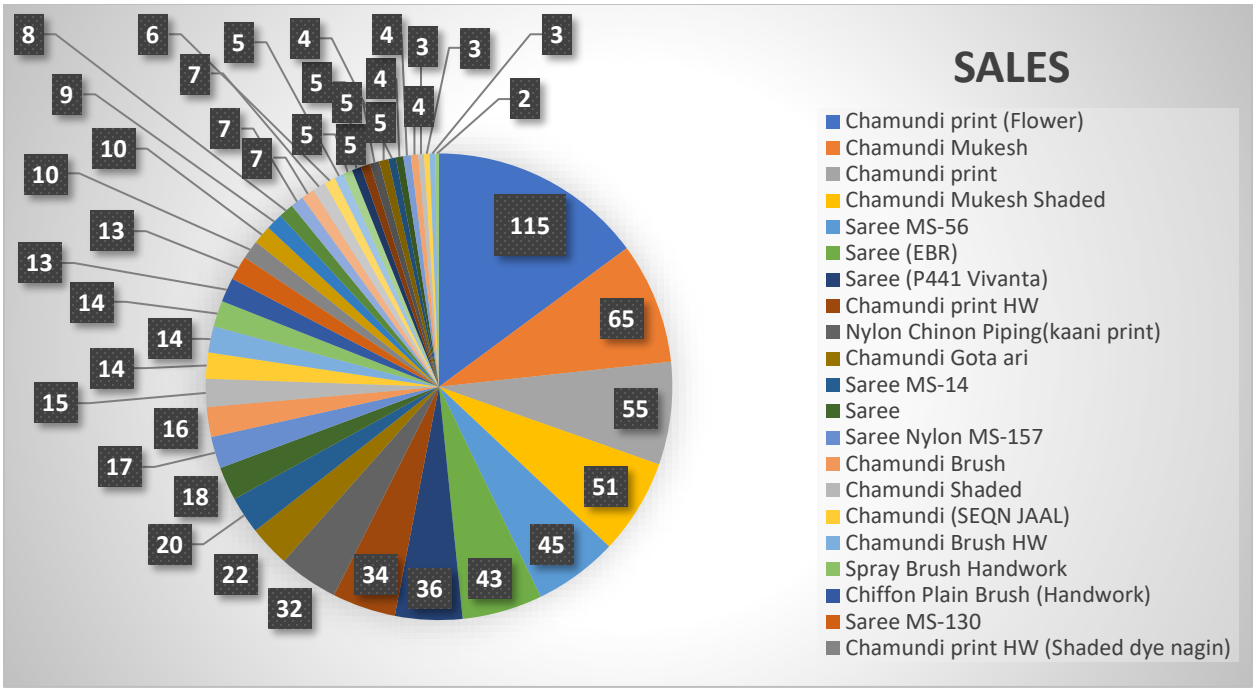


Figure 1 : Sales by Goods

3.2 Purchases Insight:

Metric	Qty	Price	Total Amount
mean	13.88	974.18	10322.42
Median	7.00	860.00	6300.00
Mode	6.00	900.00	4300.00
Std deviation	19.09	622.83	9313.79
Min	2.00	395.00	1520.00
Max	115.00	3450.00	45338.75
Q1 (25%)	5.00	500.00	3301.25
Q3 (75%)	14.00	975.00	14440.00
Unit Purchased	680.00	-	-

- A total of 680 units were purchased across 49 transactions.
- The mean (average) reflects the typical transaction size; an average sale involves about 13 pieces at ₹974.18 per unit.

- The median is lower than the mean (7 pieces, ₹860), indicating that most individual transactions are smaller, while a few large bulk orders pull the mean upward — a right-skewed distribution.

- The standard deviation measures the spread of values around the mean; the high standard deviation in Quantity (19.09) and Total Amount (₹9,313) confirms wide variability in order sizes, with some orders being very large and others quite small.

- Purchases were sourced from multiple suppliers including Madhu Creations, Radhika Prints, and others in Chandni Chowk.

- The Print category was the most purchased by volume (290 pcs), aligned with it also being the highest-selling category.

3.3 ABC / Pareto Analysis — Revenue by Category

The Pareto analysis on category-level revenue confirms a clear concentration pattern. The top three categories generate over 94% of total revenue, while Brush and Woven together contribute only 5.6%:

Category	Unit Sold	Revenue (₹)	Average Price (₹)	Revenue %	ABC Class
Print	349	₹ 2,09,475.10	₹ 829.09	36.47%	A
Others	141	₹ 1,74,900.00	₹ 1,495.00	30.45%	A
Handwork	237	₹ 1,57,671.60	₹ 844.38	27.45%	A
Brush	38	₹ 27,062.50	₹ 693.00	4.71%	B
Woven	10	₹ 5,300.00	₹ 530.00	0.92%	C
Grand Total	775	₹ 5,74,409.20	₹ 878.29	100%	-

A critical insight emerges from the average price data: the others category commands an average unit price of Rs. 1,495 — approximately 80% higher than Print (Rs. 829) and Handwork (Rs. 844). This confirms Others as a premium product segment with significantly higher revenue per unit and margin potential, despite lower volume. Inventory investment and procurement focus should be heavily concentrated in Print, Others, and Handwork (Category A), while Brush receives secondary attention and Woven is reviewed for strategic relevance.

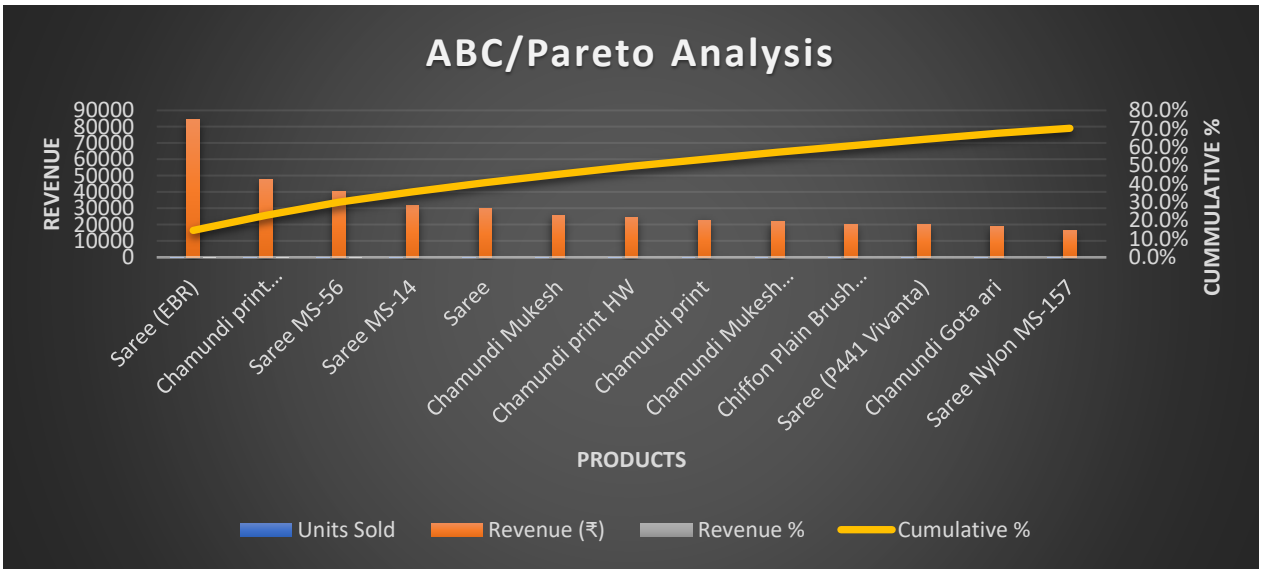


Figure 2 : ABC/ Pareto Analysis

3.4 Monthly Sales Trend

The month-wise performance reveals a clear seasonal demand pattern with a strong peak in February:

Month	Units Sold	Revenue (₹)	Transactions	Avg Revenue/Txn (₹)	MoM Revenue Growth
Jan	243	₹ 2,27,945.00	23	₹ 9,910.65	0%
Feb	434	₹ 2,58,926.10	18	₹ 14,384.78	**13.6%**
Mar	98	₹ 87,538.10	13	₹ 6,733.70	**-66.2%**
Total	775	₹ 5,74,409.20	54	₹ 10,343.05	-

February 2025 was the strongest month, with Rs. 2,58,926 in revenue and 434 units sold — nearly double January's volume. This demand spike reflects pre-wedding and spring festival season orders from B2B customers stocking up for Holi and the summer wedding season. Although February had fewer transactions (18 vs. January's 23), the average revenue per transaction was significantly higher at Rs. 14,385 vs. Rs. 9,911, indicating larger bulk orders per customer visit.

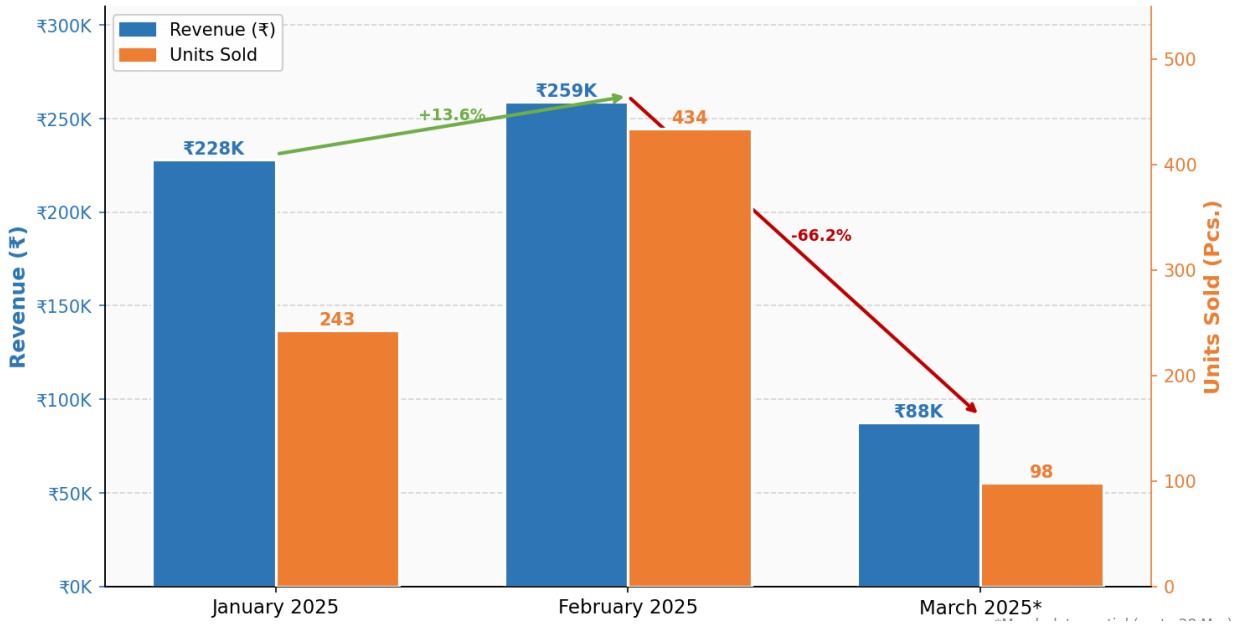


Figure 3 : Monthly Revenue & Unit Sold - MOM Trend

March shows a sharp decline to Rs. 87,538 (98 units across 13 transactions), partly explained by partial data coverage (up to March 28, 2025) and a post-festival demand lull. The key implication: inventory build-up for Print and Handwork categories must be executed well ahead of January to maximize revenue capture during the peak demand window.

3.5 Top Products by Revenue

The product-level ABC analysis across 43 unique SKUs reveals a highly concentrated revenue profile. The top 14 products account for approximately 72.9% of total revenue (Category A):

Rank	Product Description	Category	Units Sold	Revenue (₹)	Revenue %	Cumulative %
1	Saree (EBR)	Others	43	₹ 84,150.00	14.6%	14.6%
2	Chamundi print (Flower)	Print	115	₹ 47,725.00	8.3%	23.0%
3	Saree MS-56	Print	45	₹ 40,500.00	7.1%	30.0%
4	Saree MS-14	Print	20	₹ 32,000.00	5.6%	35.6%
5	Saree	Print	18	₹ 29,610.00	5.2%	40.7%
6	Chamundi Mukesh	Handwork	65	₹ 25,675.00	4.5%	45.2%
7	Chamundi print HW	Print	34	₹ 24,650.00	4.3%	49.5%

8	Chamundi print	Print	55	₹ 22,748.90	4.0%	53.5%
9	Chamundi Mukesh Shaded	Print	51	₹ 21,675.00	3.8%	57.2%
10	Chiffon Plain Brush (Handwork)	Print	13	₹ 20,150.00	3.5%	60.7%
11	Saree (P441 Vivanta)	Handwork	36	₹ 19,980.00	3.5%	64.2%
12	Chamundi Gota ari	Brush	22	₹ 18,660.00	3.2%	67.5%
13	Saree Nylon MS-157	Print	17	₹ 16,150.00	2.8%	70.3%

Saree (EBR) is the standout premium product — ranking first in revenue at Rs. 84,150 despite only 43 units sold. Its implied average selling price of approximately Rs. 1,957 per piece confirms it as a high-margin, high-value SKU requiring consistent stock availability. The Chamundi product line (Flower, Mukesh, Print HW, Print, Mukesh Shaded) collectively contributes over Rs. 1,42,474 (24.8% of total revenue), establishing it as the most important recurring product family in the portfolio.

3.6 Customer Revenue Distribution

S.R. Trading Co. currently serves four B2B customers. Revenue is critically concentrated in two customers:

Customer name	Place of supply	Unit Sold	Revenue	Transactions	Revenue Share	Risk Level
Lucky Silk Store	Jodhpur	505	₹ 3,64,455.00	23.00	63.4%	**HIGH**
Shyam Silk Store	Jodhpur	188	₹ 1,69,515.00	18.00	29.5%	**MEDIUM**
Pamecha cloth centre	Madhya Pradesh	42	₹ 23,338.10	9.00	4.1%	**LOW**
Kanchan A Mewara	Jodhpur	40	₹ 17,101.10	4.00	3.0%	**LOW**
Total		**775**	**₹ 5,74,409.20**	**54**	**100%**	

Lucky Silk Store alone contributes 63.4% of total revenue (Rs. 3,64,455) across 23 transactions. Together, Lucky Silk Store and Shyam Silk Store — both based in Jodhpur — account for 92.95% of all revenue. The remaining two customers contribute less than 7.1% combined. This extreme concentration represents the most critical business risk identified in this study: a single delayed payment or reduced order from Lucky Silk Store could severely impair S.R. Trading Co.'s ability to service suppliers, restock inventory, and maintain operations.

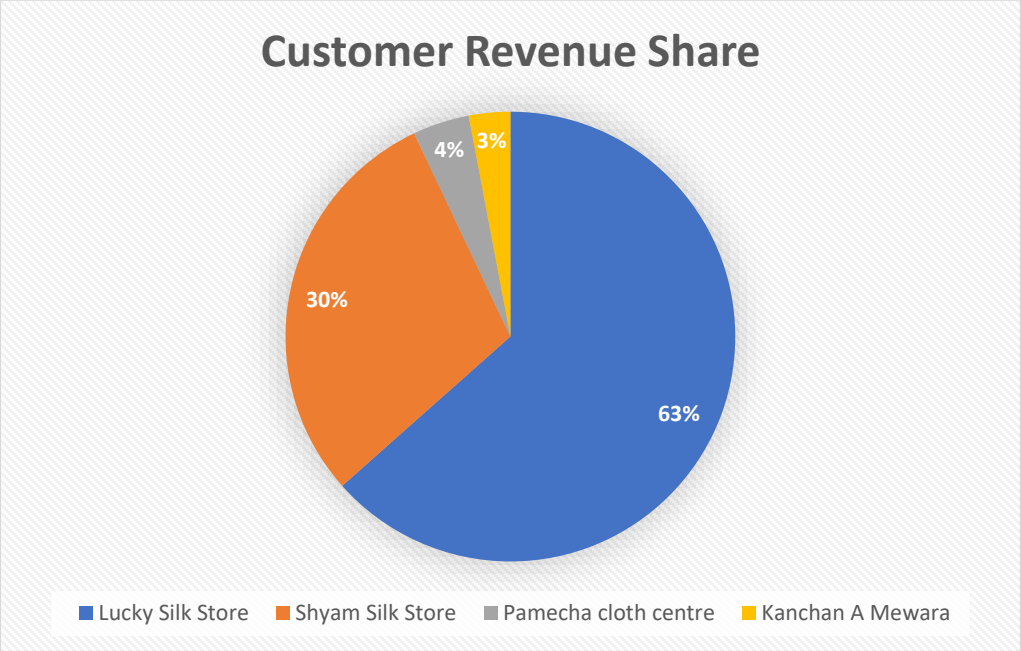


Figure 4 : Customer Revenue Share

3.7 Purchase vs. Sales Quantity by Category

Comparing purchases and sales by category reveals inventory dynamics and identifies where pre-existing stock was drawn upon to fulfill customer orders:

Category	Qty Purchased	Qty Sold	Purchase Cost (₹)	Sales Revenue (₹)	Gross Profit
Print	290	349.00	₹ 1,74,273.25	₹ 2,09,475.10	₹ 35,201.85
Others	113	141.00	₹ 1,57,110.00	₹ 1,74,900.00	₹ 17,790.00
Handwork	229	237.00	₹ 1,43,226.75	₹ 1,57,671.60	₹ 14,444.85
Brush	38	38.00	₹ 26,153.50	₹ 27,062.50	₹ 909.00
Woven	10	10.00	₹ 5,035.00	₹ 5,300.00	₹ 265.00
TOTAL	**680**	**775**	**₹ 5,05,798.50**	**₹ 5,74,409.20**	**₹ 68,610.70**

Print, Others, and Handwork all show sales exceeding purchases during the period, meaning 95 units in total were fulfilled from pre-existing inventory. The Print category had the largest drawdown (59 units), confirming it as the highest-velocity category. The consistent drawdown across all Category A products signals that current procurement is not keeping pace with demand, increasing the risk of stockouts during peak periods without advance inventory building.

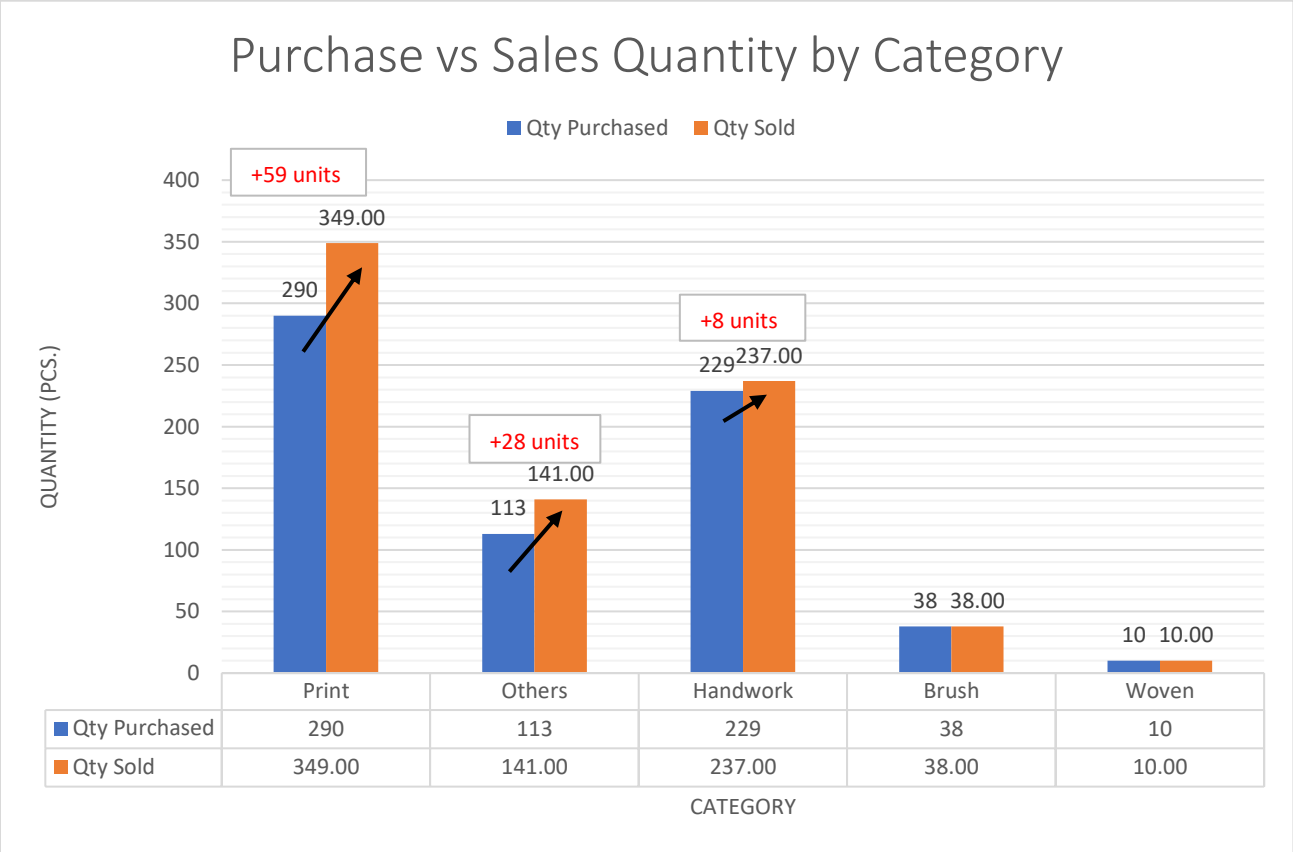


Figure 5 : Purchase vs Sales - Qty by Category

3.8 Gross Profit by Category

Category-level profitability reveals Print as both the absolute profit leader and the strongest margin performer:

Category	Purchase Cost (₹)	Sales Revenue (₹)	Gross Profit	Gross Margin %	ABC Class
Print	₹ 1,74,273.25	₹ 2,09,475.10	₹ 35,201.85	17%	A
Others	₹ 1,57,110.00	₹ 1,74,900.00	₹ 17,790.00	10%	A
Handwork	₹ 1,43,226.75	₹ 1,57,671.60	₹ 14,444.85	9%	A
Brush	₹ 26,153.50	₹ 27,062.50	₹ 909.00	3%	B
Woven	₹ 5,035.00	₹ 5,300.00	₹ 265.00	5%	C
TOTAL	**₹ 5,05,798.50**	**₹ 5,74,409.20**	**₹ 68,610.70**	**12%**	-

Print achieves the highest gross margin at 16.81%, significantly above the overall average of 11.94%, confirming its role as the dual champion — highest absolute revenue and highest margin percentage. The Others category, despite commanding the highest unit prices, delivers only 10.17% margin, suggesting either higher supplier costs or deeper discount structures on premium SKUs. Brush (3.36%) and Woven (5.01%) generate negligible profits relative to their capital deployment and shelf space, warranting a strategic review.

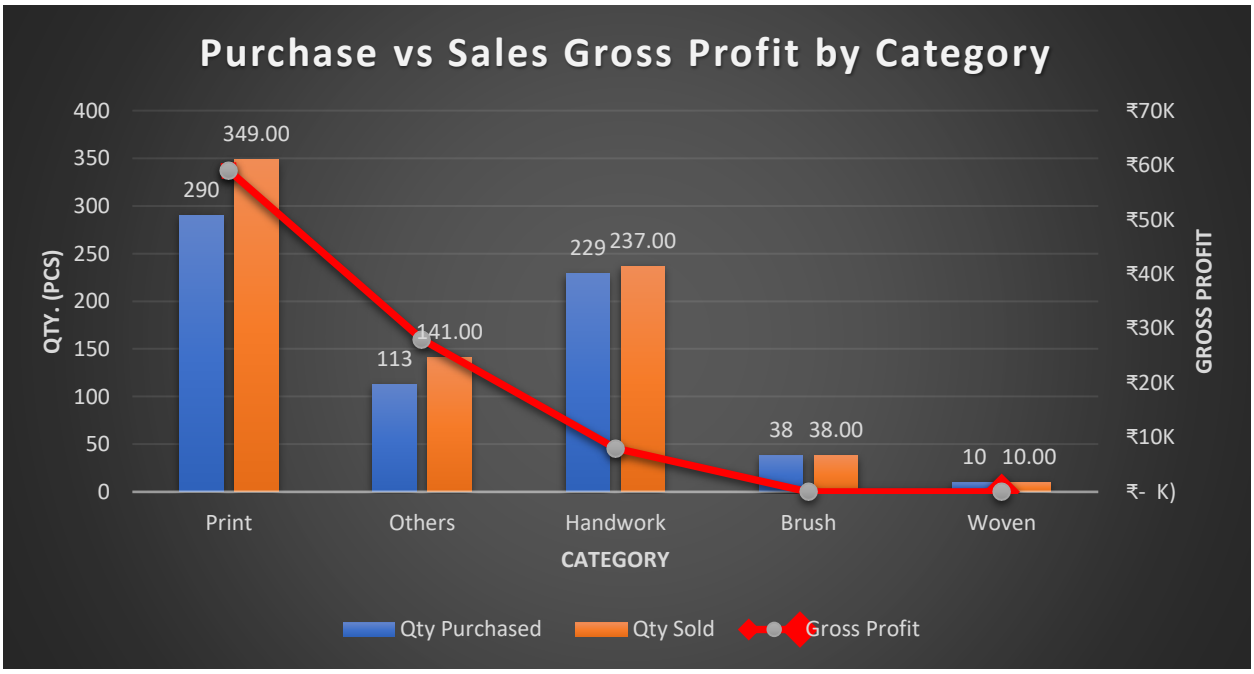


Figure 6: Purchase vs Sales - Gross Profit Trend

4. Interpretation of Results and Recommendations

4.1 Implement ABC Inventory Segmentation

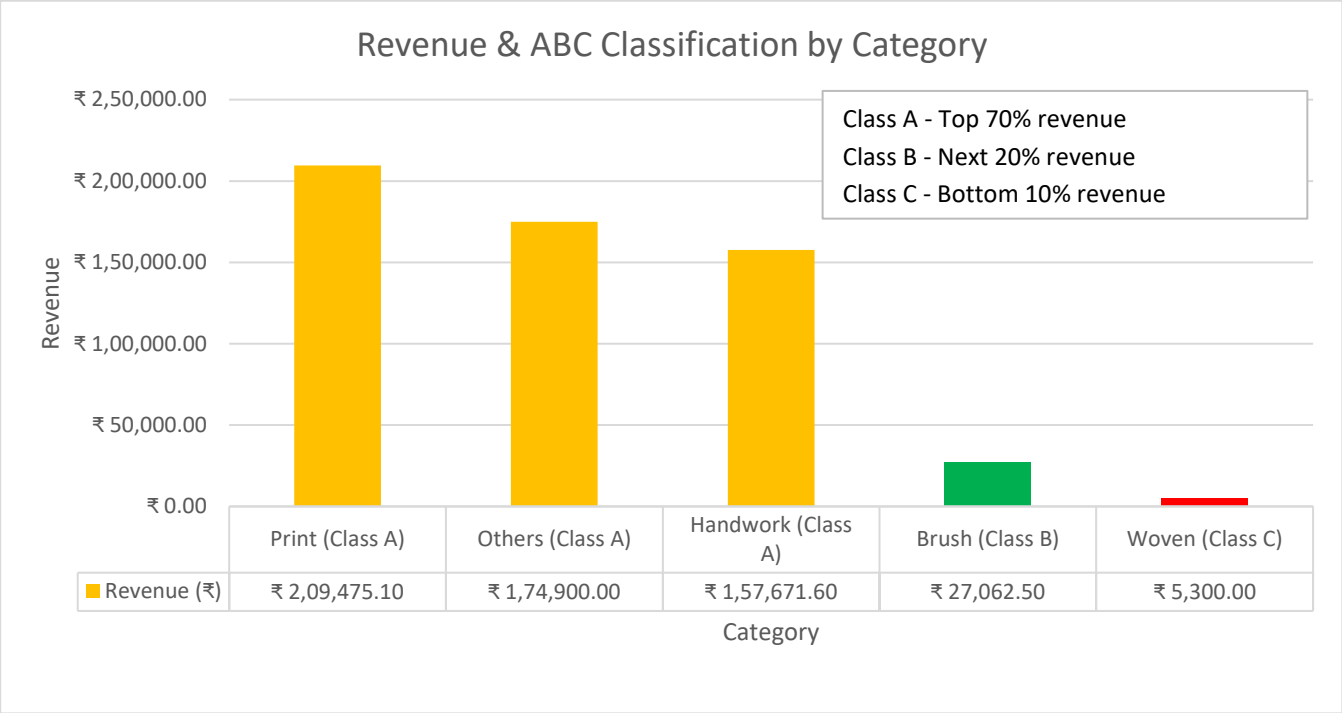


Figure 7: Revenue & ABC Classification by Category

Based on the ABC analysis findings, inventory management effort and capital allocation should be stratified across three tiers:

- Category A — Print, Others, Handwork (94.4% of revenue): Maintain minimum safety stock levels for all Category A SKUs, particularly the top 14 revenue products. Set reorder points based on weekly sales velocity. Saree (EBR) and the Chamundi product line should always be kept in stock. Conduct weekly inventory reviews for these items.

- Category B — Brush, select high-performing Brush SKUs like Chamundi Gota ari (4.71% of revenue): Monitor bi-weekly. Maintain moderate safety stocks. Review pricing and supplier terms to improve gross margins above the current 3.36%.

- Category C — Woven (0.92% of revenue, 5.01% margin): Evaluate Woven category SKUs for potential de-listing or replacement with higher-velocity variants. The capital and shelf space currently deployed in Woven products could yield better returns if reallocated to Category A restocking.

4.2 Proactive Inventory Replenishment

The purchase vs. sales gap analysis shows that 95 units (12.3% of total sales) were fulfilled from pre-existing stock rather than current-period purchases. To prevent future stockouts and maintain service levels, the following steps are recommended:

- Begin building Print and Handwork inventory stock by mid-December each year to prepare for the January to February peak demand window.
- Set category-level reorder points: when current stock falls below two times the average weekly sales rate for any Category A item, trigger a purchase order immediately.
- Establish preferred supplier relationships with Madhu Creations and Radhika Prints for priority allocation of fast-moving SKUs like Chamundi print (Flower) and Saree MS-56 during peak season.
- Negotiate standing monthly orders with key suppliers to reduce procurement lead times and minimize stockout risk during high-demand periods.

4.3 Customer Diversification to Reduce Concentration Risk

The customer concentration analysis reveals the most urgent strategic risk: 92.95% of revenue from just two customers, both in Jodhpur. The following actions are recommended:

- Set a medium-term target to reduce Lucky Silk Store's revenue share from 63% to below 45% over 12 months by actively acquiring new B2B customers in new geographies.
- Identify and target saree retailers in Rajasthan markets (Jaipur, Bikaner, Ajmer), Delhi NCR, and Western UP where demand for print and handwork sarees is strong.
- Offer competitive introductory pricing or flexible credit terms to onboard 2 to 3 new retail customers within the next three months.
- Introduce a credit concentration limit policy: no single customer should account for more than 40% of total outstanding credit at any given time, reducing payment-delay exposure.
- Consider attending local textile trade fairs or saree exhibitions in Rajasthan and Delhi to expand brand visibility and generate new B2B leads.

4.4 Credit Policy and Cash Flow Management

The credit-based model of Chandni Chowk creates cash flow vulnerability, especially given the extreme concentration in Lucky Silk Store. The following improvements are recommended:

- Implement structured payment terms for all customers: for example, 50% advance on order placement and 50% within 30 days of delivery for orders above Rs. 50,000.
- Maintain a customer-wise credit ledger to track outstanding balances, payment history, and overdue amounts. Even a simple Excel tracker would materially improve cash flow visibility and enable proactive follow-up.
- Consider offering a 1 to 2% early payment discount to incentivize faster settlement from key customers, particularly Lucky Silk Store.
- Conduct a monthly review of receivables aging to flag accounts overdue beyond 45 days and initiate structured recovery action before balances grow unmanageable.

4.5 Pricing Strategy Optimization

Despite commanding the highest average unit prices, the “Others” category delivers only a 10.17% gross margin compared to Print's 16.81%. This suggests either high supplier acquisition costs or over-discounting on premium products. Recommended actions:

- Renegotiate purchase prices with suppliers for key “Others” category SKUs — particularly Saree (EBR) — where the transaction volume justifies preferential pricing agreements.
- Review whether the standard 5% blanket discount policy is appropriate for premium-priced products. Consider reducing to 2 to 3% for high-value “Others” category transactions to protect margins.
- For Handwork category items (9.16% margin), explore whether price increases of 5 to 8% are feasible given the artisanal value perception of handwork products among B2B buyers.
- Track price sensitivity by monitoring order volumes before and after any pricing adjustments to validate changes without disrupting customer relationships.

4.6 Digitize Record-Keeping and Business Monitoring

Currently, all business data is collected manually from physical bills, creating a significant operational bottleneck and risk of data loss or error. The following improvements are recommended in order of increasing complexity:

- Short term (immediate): Maintain a weekly Excel-based sales and purchase log with standard columns: Date, SKU, Category, Quantity, Price, Customer or Supplier, Total Amount. This alone would eliminate the current data collection friction and enable monthly reporting.

- Medium term (3 to 6 months): Adopt a basic GST-compliant billing software such as Vyapar, Tally ERP, or Marg ERP, which would automate invoice generation, maintain purchase and sales ledgers, and generate monthly MIS reports automatically.

- Long term (6 to 12 months): Use billing software data to implement minimum stock level alerts and demand forecasting using a 3-month rolling average, enabling truly proactive procurement rather than the current reactive approach.

4.7 Product Mix Optimization

Based on the combined revenue, margin, and velocity analysis, the following product mix adjustments are recommended:

- Expand and protect core products: Increase stock depth and deepen supplier relationships for the top 6 SKUs (Saree EBR, Chamundi print Flower, Saree MS-56, Saree MS-14, Chamundi Mukesh, Chamundi Mukesh Shaded). These products alone account for over 45% of total revenue.

- Leverage the Chamundi brand anchor: The Chamundi product family (contributing across Print, Handwork, and Brush categories) represents a natural recurring range. Consider expanding with new design variants to deepen customer basket size without adding new supplier complexity.

- Review and reduce tail-end SKUs: Evaluate Woven and bottom-tier Brush products (contributing less than 1% revenue each) for potential de-listing or replacement with higher-velocity variants in the same price band.

- Plan seasonal range introductions: Identify festival-linked sarees and plan their procurement 4 to 6 weeks ahead of the relevant season, with explicit sell-through targets to prevent residual inventory from tying up capital.

5. Conclusion:

This final report has presented a comprehensive data-driven examination of S.R. Trading Co.'s sales and inventory operations over January to March 2025. Through systematic collection and analysis of transactional data from physical bills, the study has successfully addressed all four problem statements identified in the project proposal:

- **Lack of an effective inventory management causes the shop to have shortages of products.**

- **Due to a lack of data-driven insights, the shop may not be optimizing its sales potential, which could lead to lost income possibilities.**

- **Because the store does not adopt a proactive purchasing approach based on demand trends, it orders sarees reactively, which results in bad customer satisfaction.**

- **In traditional saree market of Chandni Chowk, credit is a vital part of doing business. The business also faces credit line issues.**

Objective 1: - Inventory Management: The ABC/Pareto analysis (Figure 7) and purchase vs. sales (Figure 5) gap analysis clearly identified stockout risks in Category A products, confirmed inventory drawdowns of 95 units from pre-existing stock, and established a clear prioritization framework for procurement decisions.

Objective 2: - Sales Optimization: The monthly trend analysis confirmed a strong January to February seasonal peak. The product-level analysis identified 14 Category A SKUs contributing 72.9% of revenue, with Saree (EBR) and the Chamundi range as the most critical products.

Objective 3: - Proactive Purchasing: Demand gap analysis and seasonal trend data provide the evidential basis for a proactive procurement calendar. Transitioning from reactive to demand-driven procurement will protect peak-season revenue.

Objective 4: - Credit Risk Mitigation: The customer concentration analysis (Figure 4) revealed that 92.95% of revenue flows through just two customers. A structured customer diversification plan targeting 2 to 3 new B2B clients, combined with a formal credit limit and payment terms policy, directly addresses this existential risk.

S.R. Trading Co. has the foundational strengths to grow sustainably: established supplier relationships, an experienced owner with deep market knowledge, a clear product focus, and a loyal B2B customer base. With data-driven decision-making as its operational backbone, the business can transition from reactive management to a proactive, profitable, and resilient enterprise capable of capturing greater market share in the highly competitive Chandni Chowk saree wholesale market.